



Dow theory explains that the market moves in trends. A security cannot advance or decline in a straight line, there will be shorter counter-trends in the price movement. According to Dow theory, there are 3 trends - a primary trend which can last for years, secondary trends can last for several weeks to several months, and minor trends which are nothing but daily fluctuations.

Further, an important tenet of this theory is that each trend holds 4 phases. I.e.

